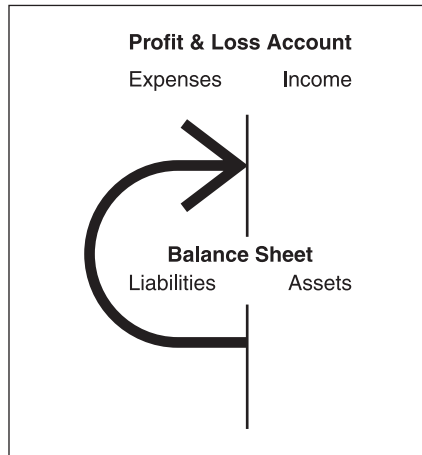




FIGURE 11.2



➤ Liability Cash Flow Pattern

interest, etc. So common sense demands that you treat it as a liability rather than an asset.

Yes, the banker did tell you that you are buying an asset. What he did not tell you was that he was buying the asset for the bank and a liability for you. There is nothing wrong in buying a house on mortgage, but understand that you are thereby creating a liability for yourself that will entail further expenses. Even if you buy a house with your own money and keep it locked you should treat it as a liability as you are incurring expenses for its upkeep in the form of maintenance charges, property tax, society charges, etc. However, if you buy a house on mortgage and rent it, and your rental is higher than the mortgage, then you have a positive cash flow. The house becomes an asset as it generates an income.

Understanding how assets and liabilities work is basic to financial literacy. Your cash flow is an indication of whether you are building assets or taking on liabilities. If it is coming in you have an asset, if it is going out it is a liability. Once you comprehend this you can work out your own financial future.